Coromandel Commercial Bank Ltd

Credit Policy - Version 4.2 (Extract: Section 1 and Section 7)

Classification: Internal | Owner: Credit Policy Unit, Head Office, Chennai

Document control

Version	Approved by	Approval date	Summary of changes
4.0	Board of Directors	01-Apr-2022	Comprehensive revision post RBI directions
4.1	Board of Directors	10-Feb-2023	Revised MSME sanctioning limits
4.2	Board of Directors	15-Mar-2024	Revised DoA for Regional and Zonal levels; added committee minutes requirement

Review frequency	Annual
Next review due	15-Mar-2025
Policy owner	Chief Credit Officer
Custodian	Credit Policy Unit

1. Applicability

This policy applies to all fund-based and non-fund-based credit facilities sanctioned by the Bank to corporate, SME and retail-business borrowers. All sanctions shall be processed through the Bank's Loan Origination System (CredFlow LOS).

7. Delegation of Authority (DoA) for credit sanction

7.1 Principle. The sanctioning authority for a credit proposal shall be determined with reference to the amount of the proposal under consideration. No authority shall sanction a proposal above the limit delegated to it.

7.2 Sanctioning powers.

Sanctioning authority	Nature	Limit per proposal (INR crore)
Branch Manager	Individual	Up to 0.50
Regional Credit Head	Individual	Above 0.50 and up to 5.00
Zonal Credit Committee (ZCC)	Committee	Above 5.00 and up to 25.00
Head Office Credit Committee (HOCC)	Committee	Above 25.00 and up to 100.00
Board Credit Committee (BCC)	Committee	Above 100.00

7.3 Committee composition. The ZCC shall comprise the Zonal Head (Chair), Zonal Credit Head and Zonal Risk Head. Quorum: two members, of whom one shall be the Zonal Risk Head. Minutes of every ZCC meeting shall be signed by the members present and uploaded to CredFlow LOS before the proposal is marked as sanctioned.

7.4 Independence. No officer shall sanction or recommend for sanction a proposal originated by himself or herself.

7.5 Deviations. Proposals with deviations from pricing, security or financial covenant norms shall be sanctioned by the authority one level above that applicable under 7.2.

7.6 Sanctions beyond authority. Any sanction found to be beyond delegated authority shall be reported to the Chief Credit Officer within two working days, placed before the next meeting of the HOCC for ratification, and reported quarterly to the Audit Committee of the Board.

7.7 System enforcement. Sanctioning limits in 7.2 shall be configured in CredFlow LOS by IT Security on written instruction from the Credit Policy Unit. Configuration changes shall be logged.